Agilent Technologies

39th Annual J.P. Morgan Healthcare Conference

Mike McMullen
President and CEO

January 12, 2021

Safe Harbor Statement

These presentations contain forward-looking statements (including, without limitation, information, and future guidance on the company’s goals, priorities, revenue, revenue growth, earnings per share, operating margin, operating cash flow, capital expenditures, capital allocation, growth opportunities, new products and solutions, customer service and innovation plans, financial condition and considerations, impact of acquisitions, share repurchases, dividends, the markets the company sells into, operations, manufacturing site plans and tax rates) that involve risks and uncertainties that could cause results of Agilent to differ materially from management’s current expectations. The words “anticipate,” “plan,” “estimate,” “expect,” “intend,” “will,” “should,” “forecast,” “project” and similar expressions, as they relate to the company, are intended to identify forward-looking statements.

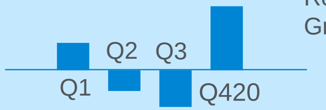
In addition, other risks that the company faces in running its operations include the ability to execute successfully through business cycles; the ability to successfully adapt its cost structures to continuing changes in business conditions; ongoing competitive, pricing and gross margin pressures; the risk that our strategic and cost-cutting initiatives will impair our ability to develop products and remain competitive and to operate effectively; the impact of geopolitical uncertainties on our markets and our ability to conduct business; the impact of currency exchange rates on our financial results; the ability to improve asset performance to adapt to changes in demand; the ability to successfully introduce new products at the right time, price and mix, the adverse impacts of and risks posed by the COVID-19 pandemic, and other risks detailed in the company's filings with the Securities and Exchange Commission, including our annual report on Form 10-K for the year ended Oct 31, 2020.

The company assumes no obligation to update the information in these presentations. These presentations and the Q&A that follows include non-GAAP measures. Non-GAAP measures exclude primarily the impacts of amortization of intangibles, acquisition and integration costs, transformational initiatives, and business exits and divestitures. We also exclude any tax benefits that are not directly related to ongoing operations and which are either isolated or are not expected to occur again with any regularity or predictability. With respect to the company’s guidance, most of these excluded amounts pertain to events that have not yet occurred and are not currently possible to estimate with a reasonable degree of accuracy. Accordingly, no reconciliation to GAAP amounts has been provided.

2020 Summary: **Agilent Technologies**

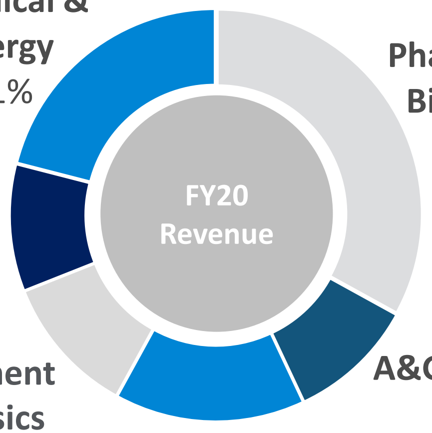
$5.3B
FY20 Revenue

23.5%
FY20 Operating Margin [1]



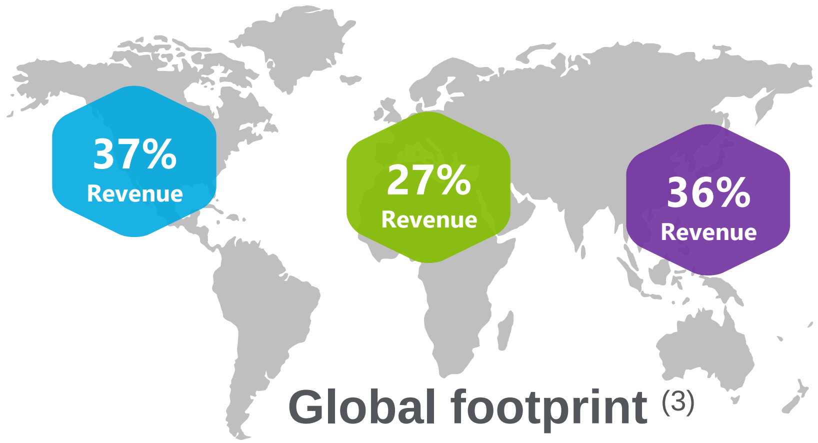
+14%
5-year EPS CAGR [1]

Leadership in Large ($58B) and Growing End-Markets



Attractive Recurring Revenue Base

+275k
Customer Labs



Global footprint [3]

(1) Presented on a non-GAAP basis, reconciliations to closest GAAP equivalent provided.(2) Core growth is reported growth adjusted for the effects of acquisitions and FX; (3) FY20 Revenue
(1)

A leading partner in the lab with unsurpassed capabilities and scale

Agilent's Shareholder Value Creation Model

Above Market Growth

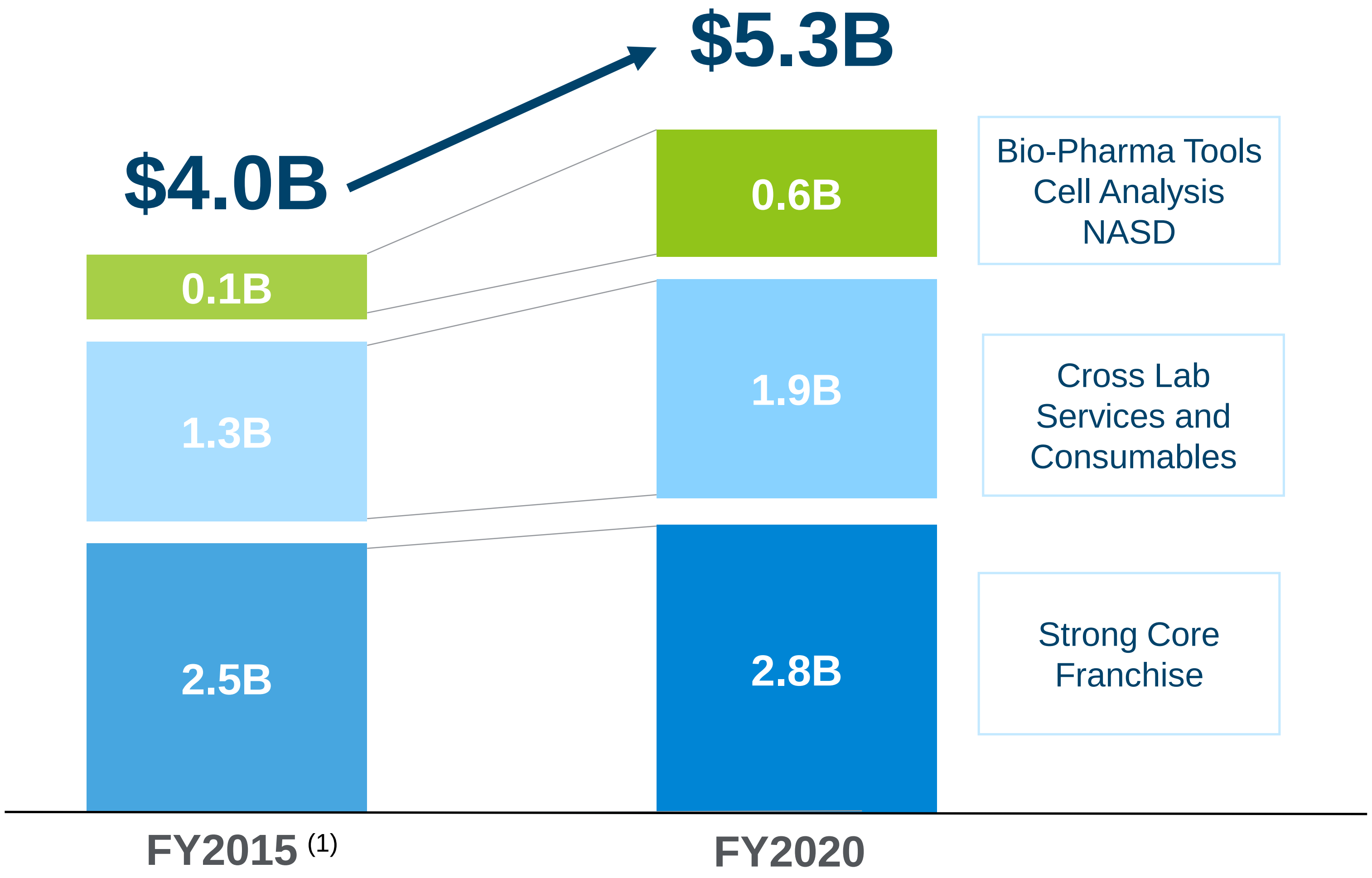
Operating Margin Expansion

Balanced Capital Deployment

Working since 2015 Launch of the New Agilent

Agilent

With our **Build and Buy strategy**, we have built large, high-growth businesses on a strong core foundation

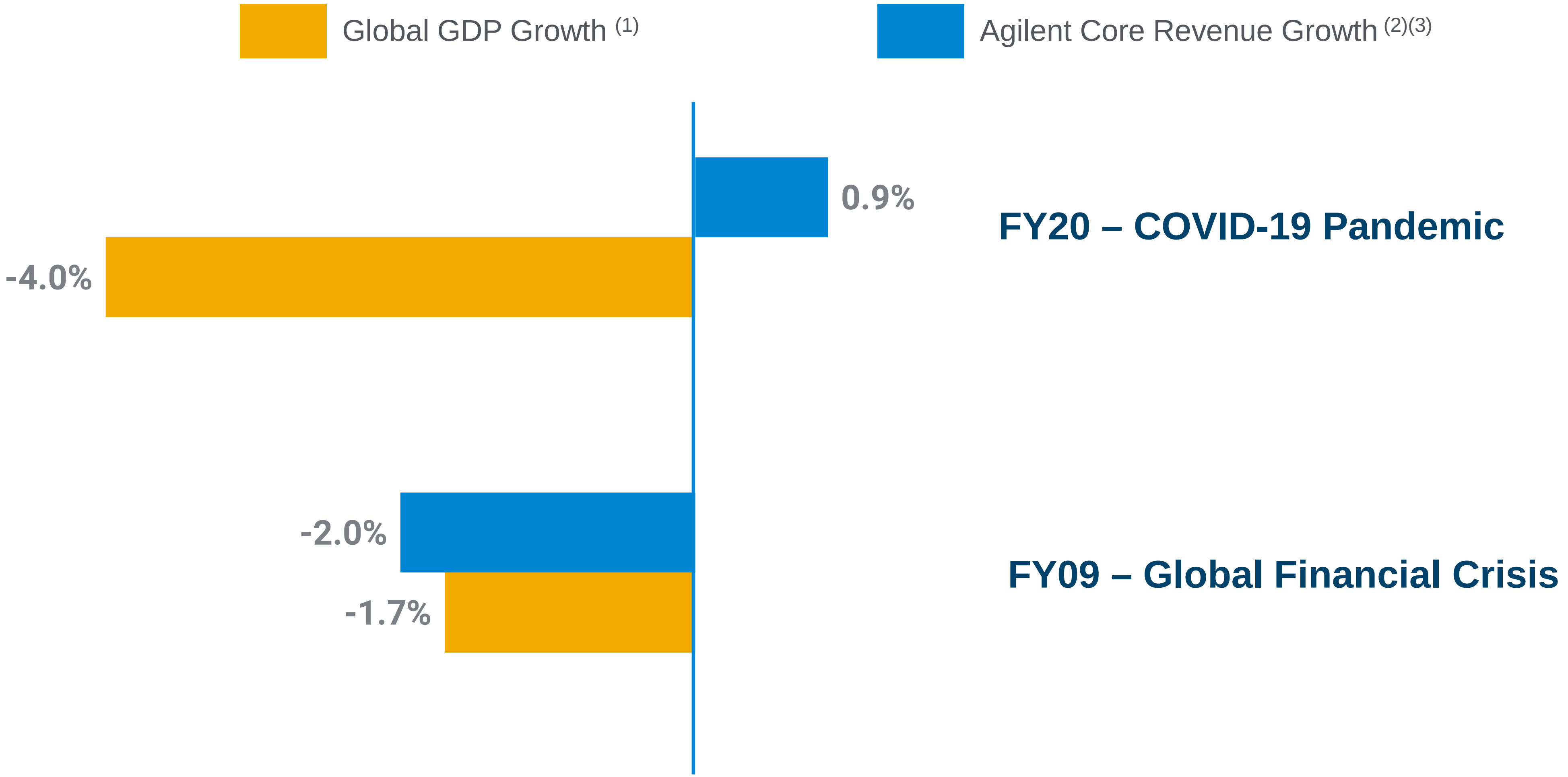


2015-2020

80% of the $1.3B revenue increase from High Growth Markets

(1) FY15 Revenue excludes divestiture of NMR business. Numbers may not foot due to rounding

The **resilience of our business model was demonstrated** during the pandemic

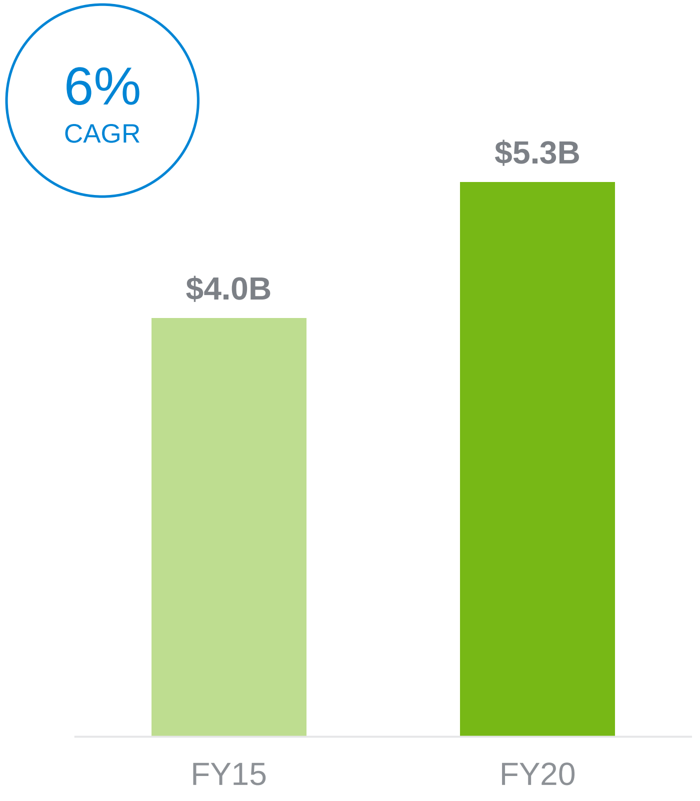


(1) GDP Data Source : IMF, FY20 Projections as of Nov'2020
(2) FY09 Revenue for Agilent's Bio-Analytical Measurements business shown
(3) Core revenue growth excludes impact of M&A and changes in currency translation;

Agilent

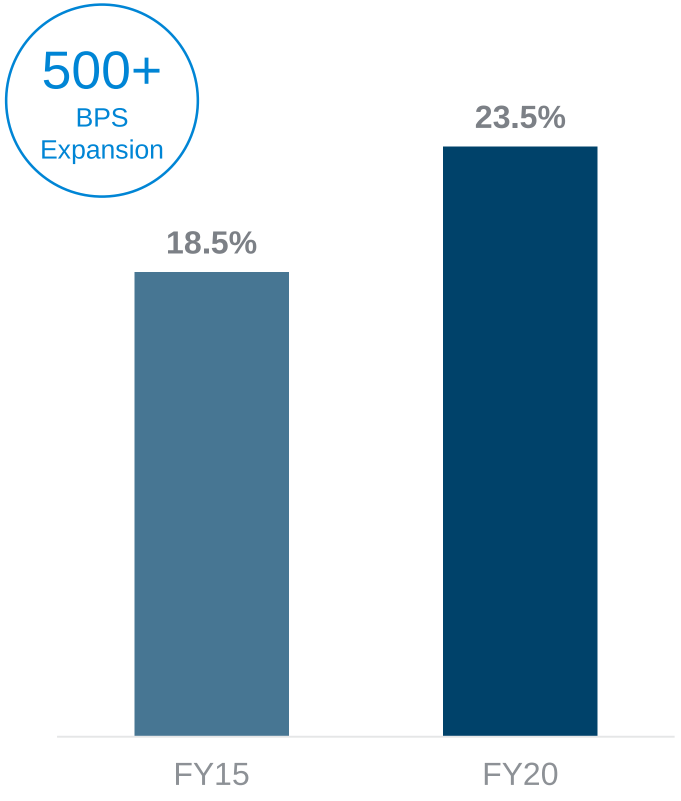
Agilent's Value Creation Model is Delivering

Above Market Growth(1)



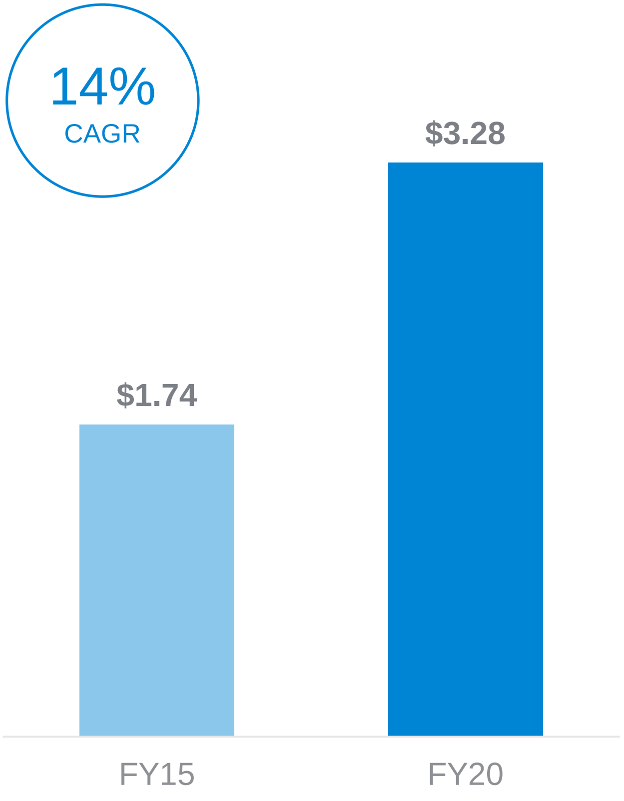
REVENUE

Operating Margin Expansion(2)(3)



OPERATING MARGIN

Superior Earnings Growth(2)



EARNINGS PER SHARE

(1) Reported revenue growth
(2) Presented on a non-GAAP basis, reconciliations to closest GAAP equivalent provided.
(3) OM% has been adjusted for pension expense reclassification and is comparable across all periods shown

Looking Forward,

Accelerating the Momentum

Agilent's **"Build and Buy"** Growth Strategy

Accelerate our momentum in attractive market opportunities

Transform
Analytical Lab

Gain Share
Cancer Diagnostics & Genomics

Enter and Expand
High Growth Markets

Strategic Enablers

- Innovation
- Digital
- M&A
- Geographic Penetration

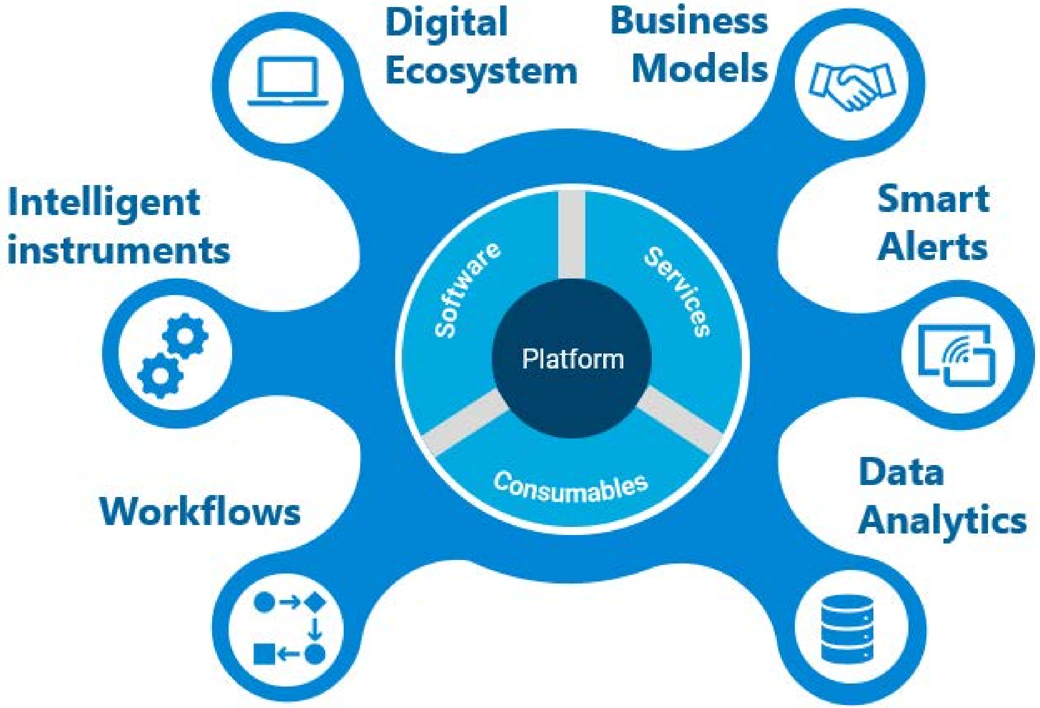
One Agilent Culture

Agilent Leading the **Transformation of the Analytical Lab**

$45B(1) Market Seeks Innovative Scientific Outcomes from Efficient, Digitally Connected Labs

Leading scientific capabilities

Digitally Connected



Efficient operations

Knowledgeable Dependable Support

AGILENT'S UNIQUE WINNING FORMULA

Industry leading portfolio breadth and installed base + Services scale, Integrated software and solutions portfolio = Accelerating growth and share gains

(1) Market size per Company estimates;

Gain Share in **Cancer Diagnostics and Genomics**

Building on our market leadership

Cancer Diagnostics

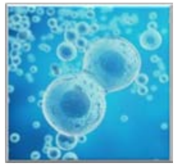
Expand menu on leading automated staining platform

Leverage IHC-based CDx leadership to expand partnership with pharma to improve outcomes

Genomics

Providing best-in-class workflow components

Enabling clinical research and diagnostic testing



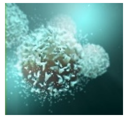
Expanding our strong foundation in the **Biopharma Value Chain**

$0.6B in revenue today, growing at double digits

Agilent's Broad Portfolio

Leading analytical tools and workflows

RNAi-based active pharmaceutical ingredients (API's)



Integrated cell analysis solutions

	Disease Research, Target ID, & Drug Dev.	Bioprocess Development	Clinical Trials	Bioprocessing & QC
Proteins	Analytical Solutions	Analytical Solutions		Analytical Solutions
	CDx Service		CDx Service	
Nucleic Acids		Oligo CDMO	Oligo CDMO	Oligo CDMO
Cells	Cell Analysis			Cell Analysis

Leadership position in Live Cell Analysis

Successful M&A strategy

+$300M
FY20 Agilent Revenue

- 2019 BioTek
- 2018 ACEA Biosciences, Inc.
- 2018 Luxcel Biosciences
- 2015 Seahorse Bioscience

Playing in attractive high growth markets

+$5B(1)
Market

~10%
CAGR Growth(2)


Immunology, Immuno-Oncology and Immunotherapy


Infectious Disease, Virology and Vaccine Research


Therapeutic Development & Production

A strong portfolio playing key roles in areas impacting all of our lives

Broad Cell Analysis Portfolio


CRISPR SureGuide
Engineering


ACEA NovoCyte Quanteon
Immunophenotyping


Seahorse XF
Cell quality


BioTek Lionheart FX
Imaging


Agilent LC/MS
Cell Culture QA/QC


ACEA xCELLigence
Potency testing


BioTek BioSpa
Cell expansion

Above: Select, illustrative cell analysis and analytical instrumentation

(1) Total Available Market. Market size per Company estimates; (2) Company estimate of market growth over next 3-5 years.

Aggressively investing and taking share in **nucleic acid-based therapeutics**

Market dynamics

Market structure evolution

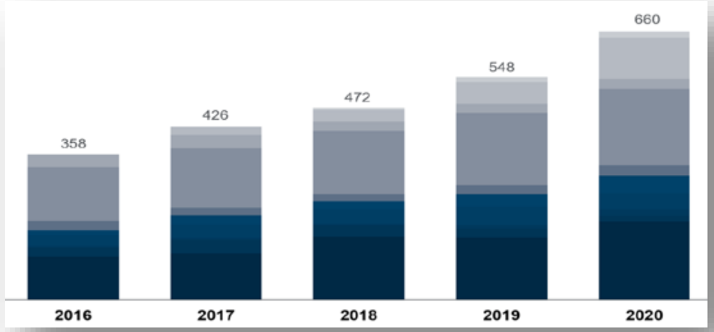
There are a small number of GMP-grade suppliers. Agilent is second in market share. $750M SAM in 2025[(1)].

Oligo therapeutics utility expansion

More disease areas are being targeted by nucleic acid based therapeutic approaches, including cancer, CNS and COVID-19.

Rapid growth in programs

> 80% increase in therapeutic programs from 2016 – 2019[(1)].



Adding capacity to meet growing demand

Frederick; one of the largest GMP nucleic acids production sites.

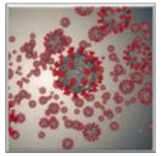
Train A successfully ramped in 2020, doubling NASD capacity.

Train B will more than double Frederick capacity with first product shipment late 2022.

Primed for further capacity scaling.

Frederick and Boulder sites have passed FDA inspections.

(1) Based on company estimates,.



Agilent **COVID-19** Response
Supporting research, testing and the development of therapies and vaccines

Existing Offerings

Agilent qPCR instrument and related reagents

Cell Analysis solutions.

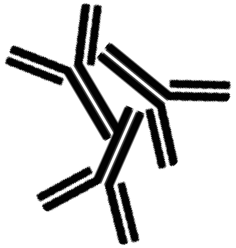
*Helping to **accelerate and automate** the processing of samples and COVID-19 testing; used in the **search for a vaccine***

The **Agilent Bravo** automated liquid handling system *being used to **speed up testing and minimize errors in sample handling***

NASD Oligo-CDMO business

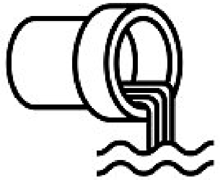
*partnering with pharma to develop **COVID-19 therapies***

Opportunities



Serology Test
Antibody Response

RT-qPCR Test
Direct Viral Detection



Wastewater Detection
Direct Viral Detection

Agilent's **Differentiated Capabilities**

Driving our "Build and Buy" Strategy

Transform
Analytical Lab

Gain Share
Cancer Diagnostics & Genomics

Enter and Expand
High Growth Markets

Strategic Enablers

- Innovation
- Digital
- M&A
- Geographic Penetration

One Agilent Culture

Agilent

Aggressive Investment in Digital

Focus on the Lab, Business Ecosystem, and Operations

Growth

New Customer Capabilities

Expanded Customer Reach

Improved Customer Interaction

Responsiveness and Convenience

"Anytime, anywhere"

Sustain Margin Expansion

More efficient Agilent operations

M&A focused on high-growth, profitable businesses in our markets

Investing for the future

Market Focus

Strategic Owner

Financial Return

$2.5B
Deployed since FY15

8%
of FY20 Revenue

Double Digit
Growth

BioTek | ACEA Biosciences, Inc. | Seahorse Bioscience | Luxcel Biosciences

Cell Analysis

ProZyme Advancing Glycosciences | iLab Solutions | Ultra Scientific Analytical Solutions | Genohm | cobalt

Enabling Lab Transformation

Advanced Analytical | Cartagenia

NGS Workflow Components

One Agilent culture our secret sauce

One Team - Aligned and Energized

Customer Focus

Winning in the Market

Positions us for strong revenue and earnings growth annually

Above Market Growth

5% - 7% Core(1)(2)

Operating Margin Expansion

50bps-100bps(1)

Balanced Capital Deployment

continued

Result: Double Digit EPS Growth

(1) Operating model over next 3-5 years. Does not represent FY21 guidance; (2) Core revenue growth excludes impact of M&A and changes in currency translation.

Our financial outlook for fiscal first quarter has improved since last guidance

Q1'FY21		
	Revised Expectation as of Jan 11, 2021	**Previous Guidance as of Nov 23, 2020**
Core Revenue Growth [1]	**At least High-Single-Digits**	**3.5% - 4.5%**

- Broad based strong growth across all three businesses and most markets
- Demand driven by customer's utilization of budgets for calendar year
- Financial outlook for the year will be provided, per our usual guidance methodology, with Q1'21 earnings in February

(1) Core revenue growth excludes impact of M&A and changes in currency translation.

Agilent

Trusted Answers

AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE EXCLUDING ACQUISITIONS AND DIVESTITURES
AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)

	Year Ended October 31,			Year Ended October 31,			Year Ended October 31,			Year Ended October 31,		
	FY20	FY19	% Growth	FY19	FY18	% Growth	FY18	FY17	% Growth	FY17	FY16	% Growth
GAAP Revenue	**$ 5,339**	**$ 5,163**	**3%**	**$ 5,163**	**$ 4,914**	**5%**	**$ 4,914**	**$ 4,472**	**10%**	**$ 4,472**	**$ 4,202**	**6%**
Less: Revenue related to acquistions and divestitures	(149)	—		(115)	—		(33)	(4)		(17)	(8)	
Non-GAAP Revenue	**$ 5,190**	**$ 5,163**		**$ 5,048**	**$ 4,914**		**$ 4,881**	**$ 4,468**		**$ 4,455**	**$ 4,194**	
Less: Currency adjustment [a]	(18)	—		(107)	—		95	—		(17)	-	
Agilent Core Revenue	**$ 5,208**	**$ 5,163**	**0.9%**	**$ 5,155**	**$ 4,914**	**5.0%**	**$ 4,786**	**$ 4,468**	**7.1%**	**$ 4,472**	**$ 4,194**	**6.7%**

[a] We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business. To determine the impact of currency fluctuations, current period results for entities reporting in currencies other than United States dollars are converted into United States dollars at the actual exchange rate in effect during the respective prior periods.

AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF ADJUSTED NON-GAAP INCOME FROM OPERATIONS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)

	FY20	Operating Margin %	FY19	Operating Margin %	FY18	Operating Margin %	FY17	Operating Margin %
Agilent GAAP Revenue	$ 5,339		$ 5,163		$ 4,914		$ 4,472	
Income from operations:								
GAAP Income from operations	$ 846	15.8%	$ 941	18.2%	$ 904	18.4%	$ 807	18.0%
Add:								
Asset impairments	99		—		21		—	
Intangible amortization	184		125		105		117	
Transformational initatives	53		44		25		12	
Acquisition and integration costs	41		48		23		30	
Business exit and divestiture costs	2		—		9		—	
Acceleration of share-based compensation expense	2		—		—		—	
NASD site costs	—		12		8		—	
Special compliance costs	—		2		4		—	
Other	29		30		5		7	
Non-GAAP income from operations	**$ 1,256**	23.5%	**$ 1,202**	23.3%	**$ 1,104**	22.5%	**$ 973**	21.7%

We provide non-GAAP income from operations in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, acceleration of share-based compensation expense, NASD site costs and special compliance costs.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

Readers are reminded that non-GAAP numbers are merely a supplement to, and not a replacement for, GAAP financial measures. They should be read in conjunction with the GAAP financial measures. It should be noted as well that our non-GAAP information may be different from the non-GAAP information provided by other companies.

AGILENT TECHNOLOGIES, INC.
NON-GAAP NET INCOME AND DILUTED EPS RECONCILIATIONS
(In millions, except per share amounts)
(Unaudited)

	FY20		FY19		FY18		FY17	
	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS	Net income	Diluted EPS
GAAP net income	$ 719	$ 2.30	$ 1,071	$ 3.37	$ 316	$ 0.97	$ 684	$ 2.10
Non-GAAP adjustments:								
Asset impairments	99	0.32	—	—	21	0.06	—	—
Intangible amortization	184	0.59	125	0.39	105	0.32	117	0.36
Transformational initiatives	53	0.17	44	0.14	25	0.08	12	0.04
Acquisition and integration costs	41	0.13	48	0.15	23	0.07	30	0.10
Business exit and divestiture costs	2	0.01	—	—	9	0.03	—	—
Acceleration of share-based compensation expense	2	0.01	—	—	—	—	—	—
Pension settlement loss	4	0.01	—	—	—	—	—	—
Pension settlement gain	—	—	—	—	(5)	(0.02)	(32)	(0.10)
NASD site costs	—	—	12	0.04	8	0.02	—	—
Special compliance costs	—	—	2	0.01	4	0.01	—	—
Loss on extinguishment of debt	—	—	9	0.03	—	—	—	—
Gain on step acquisition of Lasergen	—	—	—	—	(20)	(0.06)	—	—
Other	(20)	(0.06)	29	0.09	(10)	(0.03)	7	0.02
Adjustment for Tax Reform	—	—	—	—	552	1.70	—	—
Tax benefit on intra-entity asset transfer	—	—	(299)	(0.94)	—	—	—	—
Adjustment for taxes [(a)]	(61)	(0.20)	(52)	(0.17)	(121)	(0.36)	(50)	(0.16)
Non-GAAP net income	$ 1,023	$ 3.28	$ 989	$ 3.11	$ 907	$ 2.79	$ 768	$ 2.36

[(a)] The adjustment for taxes excludes tax benefits that management believes are not directly related to on-going operations and which are either isolated or cannot be expected to occur again with any regularity or predictability. For the years ended October 31, 2020, October 31, 2019, October 31, 2018 and October 31, 2017, management used a non-GAAP effective tax rate of 15.25%, 16.75%, 18.0% and 18.0%, respectively.

Historical amounts are reclassified to conform with current presentation.

We provide non-GAAP net income and non-GAAP net income per share amounts in order to provide meaningful supplemental information regarding our operational performance and our prospects for the future. These supplemental measures exclude, among other things, charges related to asset impairments, amortization of intangibles, transformational initiatives, acquisition and integration costs, business exit and divestiture costs, acceleration of share-based compensation expense, pension settlement loss, pension settlement gain, NASD site costs, special compliance costs, loss on extinguishment of debt, gain on step acquisition of Lasergen, adjustment for Tax Reform and tax benefit on intra-entity asset transfer.

Asset impairments include assets that have been written-down to their fair value.

Transformational initiatives include expenses associated with targeted cost reduction activities such as manufacturing transfers, site consolidations, legal entity and other business reorganizations, insourcing or outsourcing of activities. Such costs may include move and relocation costs, one-time termination benefits and other one-time reorganization costs. Included in this category are also expenses associated with company programs to transform our product lifecycle management (PLM) system and human resources and financial systems.

Acquisition and Integration costs include all incremental expenses incurred to effect a business combination. Such acquisition costs may include advisory, legal, tax, accounting, valuation, and other professional or consulting fees. Such integration costs may include expenses directly related to integration of business and facility operations, the transfer of assets and intellectual property, information technology systems and infrastructure and other employee-related costs.

Business exit and divestiture costs include costs associated with business divestitures.

Acceleration of share-based compensation expense represents stock-based compensation expense that was accelerated upon employees' involuntary termination from the company.

Pension settlement loss relates to the relief of the US Retirement Plan pension obligation due to increased lump sum payouts over a specified accounting threshold.

Pension settlement gain resulted from transfer of the substitutional portion of our Japanese pension plan to the government.

NASD site costs include all the costs related to the expansion of our manufacturing of nucleic acid active pharmaceutical ingredients incurred prior to the commencement of commercial manufacturing.

Special compliance costs include costs associated with transforming our processes to implement new regulations such as data privacy regulations, revenue recognition, lease accounting and certain tax reporting requirements.

Loss on extinguishment of debt relates to the net loss recorded on full redemption of $500 million of outstanding 5.00% senior notes due July 2020, called on August 16, 2019 and settled on September 17, 2019.

Gain on step acquisition of Lasergen resulted from the measurement at fair value of our equity interest held at the date of business combination.

Other includes certain legal costs and settlements in addition to other miscellaneous adjustments.

Adjustment for Tax Reform primarily consists of an estimated provision of $499 million for U.S. transition tax and correlative items on deemed repatriated earnings of non-U.S. subsidiaries and an estimated provision of $53 million associated with the decrease in the U.S. corporate tax rate from 35% to 21% and its impact on our U.S. deferred tax assets and liabilities.

Tax benefit on intra-entity asset transfer relates to our operations in Singapore along with our application of the new accounting rules for income tax consequences of intra-entity transfer of assets as adopted on November 1, 2018.

Our management uses non-GAAP measures to evaluate the performance of our core businesses, to estimate future core performance and to compensate employees. Since management finds this measure to be useful, we believe that our investors benefit from seeing our results "through the eyes" of management in addition to seeing our GAAP results. This information facilitates our management's internal comparisons to our historical operating results as well as to the operating results of our competitors.

Our management recognizes that items such as amortization of intangibles can have a material impact on our cash flows and/or our net income. Our GAAP financial statements including our statement of cash flows portray those effects. Although we believe it is useful for investors to see core performance free of special items, investors should understand that the excluded items are actual expenses that may impact the cash available to us for other uses. To gain a complete picture of all effects on the company's profit and loss from any and all events, management does (and investors should) rely upon the GAAP income statement. The non-GAAP numbers focus instead upon the core business of the company, which is only a subset, albeit a critical one, of the company's performance.

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AGILENT TECHNOLOGIES, INC.
RECONCILIATION OF ADJUSTED NON-GAAP INCOME FROM OPERATIONS AND INCOME FROM OPERATIONS TO REPORTABLE SEGMENTS AND OPERATING MARGINS
(In millions, except margin data)
(Unaudited)

		FY20	Operating Margin %
Revenue:			
Life Sciences and Applied Markets Group (LSAG)	$	2,392	
Agilent Crosslab Group (ACG)		1,900	
Diagnostics and Genomics Group (DGG)		1,047	
Agilent GAAP Revenue	$	5,339	
Income from operations:			
GAAP Income from operations	$	846	15.8%
Add:			
Asset impairments	$	99	
Intangible amortization		184	
Transformational initiatives		53	
Acquisition and integration costs		41	
Business exit and divestiture costs		2	
Acceleration of share-based compensation expense		2	
Other		29	
Non-GAAP income from operations	**$**	**1,256**	23.5%
Breakdown of reportable segment income from operations:			
Life Sciences and Applied Markets Group (LSAG)	$	548	22.9%
Agilent Crosslab Group (ACG)		516	27.2%
Diagnostics and Genomics Group (DGG)		192	18.3%
Agilent - Non-GAAP income from operations	**$**	**1,256**	23.5%

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AGILENT TECHNOLOGIES, INC.
RECONCILIATIONS OF REVENUE BY SEGMENT EXCLUDING ACQUISITIONS AND DIVESTITURES
AND THE IMPACT OF CURRENCY ADJUSTMENTS (CORE)
(in millions)
(Unaudited)

	Life Sciences and Applied Markets Group (LSAG)			Diagnostics and Genomics Group (DGG)			Agilent CrossLab Group (ACG)		
	Year Ended October 31,			Year Ended October 31,			Year Ended October 31,		
	FY20	FY19	% Growth	FY20	FY19	% Growth	FY20	FY19	% Growth
GAAP Revenue	**$ 2,392**	**$ 2,302**	**4%**	**$ 1,047**	**$ 1,021**	**2%**	**$ 1,900**	**$ 1,840**	**3%**
Less:									
Revenue related to acquisitions and divestitures	(149)	—		—	—		—	—	
Non-GAAP Revenue	**$ 2,243**	**$ 2,302**	**-3%**	**$ 1,047**	**$ 1,021**	**2%**	**$ 1,900**	**$ 1,840**	**3%**
Less:									
Currency adjustment [a]	(6)	—		(2)	—		(10)	—	
Segment Core Revenue	**$ 2,249**	**$ 2,302**	**-2%**	**$ 1,049**	**$ 1,021**	**3%**	**$ 1,910**	**$ 1,840**	**4%**

[a] We compare the year-over-year change in revenue excluding the effect of recent acquisitions and divestitures and foreign currency rate fluctuations to assess the performance of our underlying business. To determine the impact of currency fluctuations, current period results for entities reporting in currencies other than United States dollars are converted into United States dollars at the actual exchange rate in effect during the respective prior periods.

AGILENT TECHNOLOGIES, INC.
NET DEBT TO ADJUSTED EBITDA CALCULATION
(in millions, except ratio data)
(Unaudited)

	As of October 31, 2020	As of October 31, 2019	As of October 31, 2018	As of October 31, 2017	As of October 31, 2016
Long-term debt	$ 2,284	$ 1,971	$ 1,799	$ 1,801	$ 1,904
Short-term debt	75	616	—	210	—
Cash & cash equivalents	(1,441)	(1,382)	(2,247)	(2,678)	(2,289)
Net debt	**$ 918**	**$ 1,205**	**$ (448)**	**$ (667)**	**$ (385)**

	FY20	FY19	FY18	FY17	FY16
GAAP net income	$ 719	$ 1,071	$ 316	$ 684	$ 462
Asset impairments	99	—	21	—	4
Intangible amortization	184	125	105	117	152
Transformational initiatives	53	44	25	12	38
Acquisition and integration costs	41	48	23	32	41
Business exit and divestiture costs	2	—	9	—	10
Loss on extinguishment of debt	—	9	—	—	—
NASD site costs	—	12	8	—	—
Special compliance costs	—	2	4	—	—
Pension settlement expense	4	—	—	—	—
Pension settlement gain	—	—	(5)	(32)	(1)
Pension curtailment gain	—	—	—	—	(15)
Impairment of investment and loans	—	—	—	—	25
Acceleration of share-based compensation expense	2	—	—	—	—
Gain on step acquisition of Lasergen	—	—	(20)	—	—
Other	(20)	29	(10)	5	6
Tax benefit on intra-entity asset transfer	—	(299)	—	—	—
Adjustment for Tax Reform	—	—	552	—	—
Adjustment for taxes	(61)	(52)	(121)	(50)	(71)
Non-GAAP net income	$ 1,023	$ 989	$ 907	$ 768	$ 651
Add:					
(1) Net interest expense	$ 70	$ 38	$ 37	$ 57	$ 61
GAAP provision for income taxes	123	(152)	630	119	82
Adjustment for taxes	61	351	(431)	50	71
(2) Non-GAAP provision for income taxes	$ 184	$ 199	$ 199	$ 169	$ 153
(3) Depreciation and amortization expense (not already included above)	$ 124	$ 113	$ 105	$ 95	$ 94
Adjusted EBITDA	**$ 1,401**	**$ 1,339**	**$ 1,248**	**$ 1,089**	**$ 959**
Net debt to adjusted EBITDA ratio	**0.7**	**0.9**	**(0.4)**	**(0.6)**	**(0.4)**

EBITDA is a non-GAAP financial measurement. Adjusted EBITDA is defined as earnings before interest, taxes, depreciation and amortization, as adjusted for items such as asset impairments, amortization of intangibles, transformation initiatives, acquisition and integration costs, business exit and divestiture costs, loss on extinguishment of debt, NASD site costs, special compliance costs, pension settlement expense, pension settlement gain, pension curtailment gain, impairment of investment and loans, acceleration of share-based compensation expense, gain on step acquisition of Lasergen, tax benefit on intra-entity asset transfer and adjustment for Tax Reform. The Company believes that Adjusted EBITDA, which is a financial measure that is not defined by Generally Accepted Accounting Principles ("GAAP"), is a useful performance metric because it eliminates non-cash and/or non-recurring charges to earnings and because it believes that such a measure is a widely accepted financial indicator used by investors and analysts to analyze and compare companies on the basis of operating performance. It is important to note that non-GAAP measures such as Adjusted EBITDA should be considered in addition to, not as a substitute for or superior to, net income, cash flows, or other measures of financial performance prepared in accordance with GAAP.